

Big Tech, 20 Years of Major Fines Have Not Been Enough

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(MF, November 25, 2023)

In the beginning, there was Microsoft, the recipient of one of the first major fines imposed by Europe on a big tech company. It was just 2004, the dawn of the Internet on this side of the Ocean, and after an investigation lasting almost five years, the Antitrust Authority in Brussels ordered Microsoft to pay a fine of half a billion euros, which the company, then firmly in the hands of Bill Gates, immediately paid, opting not to appeal. The decision of the EU Commission was based on a series of anti-competitive behaviors adopted by the Redmond giant to keep competitors at bay: poor information on the interoperability of its software with that of competitors and, above all, the bundled and forced sale of an operating system—its Windows—along with a media player, its Media Player.

Minor infractions compared to what would happen in the following years and the closed—or at least less open—platforms and systems that today characterize the digital world. It is impossible to retrace year by year and fine by fine the history of the many and significant attempts by the EU Commission and national authorities to call big tech to comply with the rules over the last two decades. However, there is no doubt that, between antitrust and privacy, since that distant 2004, Microsoft and the other four stars of the global digital firmament (Google, Apple, Amazon, and Meta) have collectively faced and largely paid fines amounting to tens of billions.

For example, nearly 10 billion euros were imposed on Google alone since its arrival in Europe at the end of 2022. But the fines have also been steep, especially the recent ones, which have reached Menlo Park, the headquarters of Meta-Facebook, particularly from privacy authorities: 1.2 billion euros was the largest of all, last May, following a series of similar fines notified to the same address for at least another 1.5 billion just between 2021 and today.

And of course, it is not just Microsoft, Google, and Meta. Because almost no one in the inner circle of the digital lords over the last two decades has escaped the punitive axe of Brussels or that of national personal data protection authorities. This includes newcomers like TikTok, which this year broke the ice with a fine of 345 million for violating European privacy laws, particularly concerning the personal data of children. However, these numbers risk meaning little or nothing if not compared to the revenues of the digital giants subject to the fines.

Therefore, it is worth remembering that their total annual revenue in 2022, a horribilis year for big tech, exceeded 1.5 trillion dollars, about three-quarters of Italy's GDP. In short, no one is happy to pay million-euro fines, without which big tech would obviously have earned more, but the numbers suggest that the fines in question have always been easily absorbed by the stellar balance sheets of digital giants. Now we are on the eve of the first exercises in applying the new European regulations—the so-called digital package aimed at more effectively calling big tech to order, leveraging, among other things, a significantly more substantial punitive framework than in the past.

However, while there can be no doubt about the necessity of fines as a governance tool for all markets, including digital ones—because balance sheet numbers are what matters most to anyone doing business in any sector—perhaps we need to ask whether they are sufficient. Because, certainly, without the billion-euro fines imposed in the last two decades, the situation of the European digital market would have been worse than what we face today, characterized by little competition, unaware consumers and users, and massive use of personal data, but certainly many unresolved problems remain on the table.

Moreover, the history of this two-decade period of fines against big tech suggests two things. The first: to impose a fine on increasingly complex issues, especially on the technological side, the competent authorities need years and significant resources, which are, however, inexorably scarce. The second: in a liquid society, where everything changes at the speed of light, fines have lost some of their "exemplary" value because it is unlikely that, after a few years, the same sanctioned entity or one of its competitors would engage in the same conduct as in the past. Therefore, the fine loses much of its deterrent effectiveness regarding the commission of similar future offenses.

And so it is worth questioning the possibility of exploring different avenues. Easy to say but difficult to do and even to imagine. However, there is one path that often remains in the shadows and, when mentioned, always sounds old and ineffective, even though it has never truly been pursued: education on the consumption of digital products and services and education on rights. Yet, although this is a medium-term path—and it is the reason why pursuing it never piques the interest of governments—it is perhaps the only one that could work because there is one thing that scares companies more than fines, and that is the loss of their users and consumers.

In short, if educated users and consumers regarding digital consumption choices and the value of rights made compliance with European rules and principles by big tech a driver of choice... significant and they would learn to reward the companies that are more respectful of their rights and to punish those that are less respectful, simply by choosing different products and services, at that point things could really change and the balance could tilt to the right side more than the sanctions have been able to do so far.